

Money Market Investor Funding Facility (MMIFF), the Asset-Backed Commercial Paper Money Market Mutual Fund Liquidity Facility (AMLF), the Commercial Paper Funding Facility (CPFF), the Primary Dealer Credit Facility (PDCF), the Term Securities Lending Facility (TSLF), and the Term Auction Facility (TAF). The Money Market Investor Funding Facility (MMIFF) was never used. Strangely, the MBS Purchase Program seemed not to get an acronym. And the Fed also loaned money to primary dealer affiliates and banks: JP Morgan, Citibank, and Bank of America.

Since the financial crisis, the Fed has expanded its balance sheet very aggressively and bought many risky assets. Figure 9.7 shows the explosion in the Fed balance sheet since September 2008, which at April 2012 is approaching \$3 trillion. Traditional “plain vanilla” Treasuries have declined and mortgage-backed securities now total almost \$1 trillion.

For unconventional monetary policy, defined here as the purchase of risky non-Treasury securities, to have a permanent effect after the Fed has ceased buying, the buying programs must have either altered investor expectations or risk premiums or there must be some segmentation in the market so that the Fed can change prices in one part of the market or yield curve without the other markets or parts of the yield curve fully adjusting to offset the Fed’s effects. The original version of segmented markets was the *preferred habitat theory* or clientele model developed by Culbertson (1957) and Modigliani and Sutch (1966a, 1996b). The most recent incarnation of this theory, which has spawned a new, resurgent literature, is Vayanos and Vila (2009).

In the Vayanos and Vila model, there are agents who are locked into, or prefer, bonds of a particular maturity. Think here of pension funds, say, which like long-dated Treasuries because they must hedge long-term liabilities. There are also arbitrageurs, who are able to take speculative positions across the yield curve. Think here of hedge funds or the (now-emasculated) proprietary trading desks of investment banks. While arbitrageurs can smooth the effects of shocks at a particular maturity induced, say, by the Fed purchasing long-term bonds, Fed actions have permanent effects across the yield curve because they change the supply of bonds available to those investors locked into long-term Treasuries of that maturity. Thus, asset owners investing in fixed income instruments might consider the effects of relative supply as a factor.

3. Term Spread (Long-Term Bonds)

3.1. RISK AND RETURNS OF LONG-TERM BONDS

Bond yields and prices are inversely related, so bond returns are high in times of falling yields, and vice versa. Since Figures 9.2 and 9.3 document the general pattern that interest rates rose until the early 1980s and then fell, it is not surprising that bonds generally did relatively poorly up until the early 1980s and then had